

- In order to qualify, the applicant (you or your parent) will need to pass a credit check. If the applicant has a poor credit history, it is unlikely they will receive the loans.
- The borrowing limits are much, much higher. You can borrow the total cost of school minus any other financial assistance you receive. This means you can easily borrow \$40,000 a year if you go to an expensive school. Because the borrowing limits are so high, it is very easy to get yourself into crippling debt with these loans.
- There is no automatic grace period. With direct subsidized and unsubsidized loans, you typically get until six months after graduation to begin repaying the loans. With PLUS loans, repayment starts as soon as you or the school receives the money.
- The federal government offers four different income-driven repayment plans for student loans. They limit monthly payments to a percentage of the student's discretionary income (generally 10%). If the student makes those payments for a certain number of years (typically 20 or 25), any remaining loan balance will be forgiven. PLUS loans, however, do not qualify for most of these plans.¹⁵

Private Loans

You should do your best to stay away from private loans. If you are thinking about getting a private loan, especially a large one, then you are probably trying to attend a school that is too far out of

¹⁵ For more information and updates on PLUS loans, visit the U.S. government's Federal Student Aid website at <https://studentaid.gov/understand-aid/types/loans/plus>.